

Palantir Technologies Inc.

PLTR NYSE

Hold	\$206.06 ▲ 3.66%	12M Price Target \$215.00	52-Week Range \$106.37 – \$207.52	Market Cap \$495.16B
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PLTR: Fresh All-Time Highs on Defense AI Momentum

WHAT HAPPENED

- PLTR punched through to a fresh all-time high at \$206, up 3.7% on heavy volume — and the stock is now sitting at 99% of its 52-week range, meaning it's basically as high as it's ever been. No specific news catalyst overnight, which tells you this is momentum-driven buying, likely tied to the broader "AI + defense" trade heating up again.
- Options flow is screaming bullish — traders bought over 100,000 call contracts at the \$205 strike expiring this month (calls = bets the stock goes up). That's 3.5x the existing open interest, meaning fresh money is piling in betting on more upside in the next 2 weeks.

WHY IT MATTERS

When a stock hits new highs with no news, it usually means institutions are front-running something — either an earnings beat, a contract announcement, or a policy catalyst they see coming. The combination of unusual call buying + new highs + heavy volume is a classic "someone knows something or is positioning hard" setup. The flip side: insiders have been quietly selling into this strength (three director sales in the last month), which doesn't scream "load up at these levels." The real takeaway — the easy money has been made; from here you're paying for execution on a thesis that's already widely known.

POLICY & POLITICAL WATCH

The FY2027 defense budget is the single biggest thing to watch — the Pentagon's software modernization line items keep expanding, and PLTR's Maverick and TITAN programs are directly in that funding stream. The Trump administration's push to consolidate federal IT vendors around a few "trusted" AI providers is a massive tailwind for Palantir specifically — they're one of maybe three companies with the security clearances to play at scale. Watch for any news on the AI Executive Order implementation deadlines in Q4 — agencies have to show AI adoption plans, and PLTR is the default winner when that happens.

IS IT EXPENSIVE?

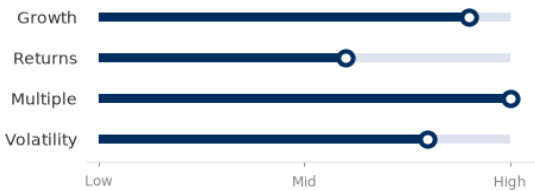
This is where it gets uncomfortable — PLTR trades at roughly 100x forward revenue and over 300x forward earnings, meaning investors are paying \$100 for every \$1 of sales the company will do next year. For context, even high-flying peers like Snowflake or CrowdStrike trade at 15-25x revenue. The only way this math works is if PLTR grows 40%+ for the next 3-5 years AND margins expand significantly — the business is genuinely great, but the price assumes almost no mistakes.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$206.06
12M Price Target	\$215.00
Upside / (Downside)	+4.3%
Market Cap	\$495.16B
FY2026E Revenue	\$4,850M
FY2027E Revenue	\$6,400M
FY2026E EPS	\$0.62
FY2027E EPS	\$0.88
Fwd P/E	332.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$225.00	\$210.00	\$185.00
6 Months	\$260.00	\$215.00	\$160.00
1 Year	\$300.00	\$230.00	\$140.00
2 Years	\$400.00	\$275.00	\$120.00
5 Years	\$650.00	\$400.00	\$150.00
10 Years	\$1200.00	\$650.00	\$200.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Real Estate and Healthcare leading today — classic defensive rotation, which is interesting because it suggests some investors are getting nervous about high-beta tech even as names like PLTR rip higher. Utilities up nearly 4% on the week also screams "hedge your AI exposure."

COOLING OFF: Pure tech ETFs not in the top movers list today, suggesting the AI trade is narrowing to just the winners (PLTR, NVDA) rather than being a broad rally.

ROTATION WATCH: Money is bifurcating — momentum chasers piling into the mega-cap AI winners while cautious money hides in defensives. That's a late-cycle signal worth respecting.

RELATED PLAY: If you believe the defense AI thesis, look at the picks-and-shovels names — Anduril (private, but watch for IPO chatter), AXON, and the smaller defense primes like LDOS or BAH that integrate PLTR's software.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the alpha dog of AI infrastructure — any PLTR rally is partially fueled by the broader "AI is real" narrative NVDA keeps feeding
- ANET (Arista Networks): Networking backbone for AI data centers, benefiting from the same federal + enterprise spending wave

PLTR CONTEXT: PLTR is leading its software peer group by a wide margin — up ~95% YTD vs. software sector averages near 15%. When a stock dominates its peer group this hard, it usually means either (a) the thesis is correct and it keeps running, or (b) you're late. History suggests the next 20% move is more likely down than up without a fresh catalyst.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I love the business, I don't love the entry price here; this is a "great company, uncertain stock" moment

POSITION SIZE: 2-3% max at these levels. If you already own it bigger from lower prices, consider trimming back to this range and letting the house's money ride

ENTRY POINTS: I'd be a buyer on pullbacks to \$175-185, which would be a healthy 10-15% retrace. Chasing at \$206 at 99% of the 52-week range is how you buy the top

TIME HORIZON: 12-24 months — the real catalyst is the Q3 earnings report in November and the FY27 defense budget negotiations in early 2027

WHEN TO BAIL: If commercial revenue growth drops below 45% year-over-year, or if you see cluster insider selling (3+ insiders selling in a single week), that's your signal to lighten up

HEDGING: Simplest hedge — buy a put option 10% below current price expiring in 3 months. Think of it as insurance: costs you a small premium, but if the stock crashes 30%, you're protected on the way down